

Multiple Choice

1. **Answer:** B

Options: A) Federal government purchases of goods and services.; B) Imports.; C) State and local government purchases of goods and services.; D) Exports.

Note: Correct option: B - Imports.

2. **Answer:** C

Options: A) A positive income elasticity; B) A horizontal demand curve; C) A negative cross-price elasticity; D) A demand elasticity greater than one

Note: Correct option: C - A negative cross-price elasticity

3. **Answer:** B

Options: A) a persistent surplus of good X.; B) a persistent shortage of good X.; C) an increase in the demand for good Y, a substitute for good X.; D) a decrease in the demand for good Z, a complement with good X.

Note: Correct option: B - a persistent shortage of good X.

4. **Answer:** C

Options: A) An increase in the money supply; B) Increased government spending; C) Lower taxes on research and development of new technology; D) Higher taxes on household income

Note: Correct option: C - Lower taxes on research and development of new technology

5. **Answer:** B

Options: A) downward sloping and equal to the market demand curve.; B) perfectly elastic.; C) perfectly inelastic.; D) kinked at the going market price.

Note: Correct option: B - perfectly elastic.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Wage = Marginal revenue product of labor.'

9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** everyone who wants to work has the opportunity to do so. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Diminishing marginal utility.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.